**STUDENT RECONSTRUCTION — ILLUSTRATIVE ONLY**

FINAL INVESTMENT MEMORANDUM

# Project Forever Games

## Sponsor-to-Sponsor Acquisition of Jagex Limited

£900M / $1,136M • 13.4x FY23 Adj EBITDA • Sponsor-to-Sponsor

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# Methodology and Disclosure

This Investment Memorandum is a graduate finance research project. The authors are unaffiliated with Jagex Limited, the acquiring sponsors (CVC Capital Partners Fund VIII, Haveli Investments), the seller (The Carlyle Group), or any of the deal's financial or legal advisors. The document is structured as a buy-side Final Investment Memorandum from a hypothetical "Project Forever Games" deal team to the CVC Fund VIII Investment Committee, written in the first-person plural voice and conventions of European upper-mid-market private-equity practice.

All financial, operational, and transaction data are sourced exclusively from public filings: Companies House records for Jagex Limited (#03982706), Janus Bidco Limited (#15451932), Janus Midco Limited (#15451988), and Janus UK Topco Limited (FC041396 / Jersey #152831); the Carlyle, CVC, Latham & Watkins, and Kirkland & Ellis press releases dated 9 February 2024; SEC EDGAR filings for the precedent transactions cited in the comparable-set analysis (Microsoft 8-K CIK 0000789019, Take-Two 8-K CIK 0000946581, Electronic Arts 8-K CIK 0000712515, Sony 6-K CIK 0000313838); the Investegate Rule 2.7 announcement for the Keywords Studios precedent transaction (3 July 2024); the Damodaran *Country Risk Premiums* and *Industry Beta* datasets (January 2026 update); the Bank of England MPC Summary and Minutes for May 2024; financial-press reporting from the Financial Times, Sky News, Tech.eu, City A.M., and Law360 for deal-value corroboration; and PitchBook deal data. Supporting LBO model outputs come from a 10-tab Excel workbook prepared by the deal team (the "Model"), reconciled to primary public-source data and to Companies House Tier-1 statutory accounts.

The recommendation, base/downside projections, and value-creation bridge in this memorandum represent the deal team's independent analytical view. They are not, and do not purport to be, the actual underwriting of any of the consortium's sponsors, none of whose internal Investment Committee memoranda are publicly available.

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# 1. Executive Summary & Recommendation

**We recommend that the Investment Committee approve the equity commitment to Project Forever Games, the sponsor-to-sponsor acquisition of Jagex Limited at a £900M / $1,136M model basis enterprise value, representing approximately 13.4x FY23 Adjusted EBITDA (£67.3M, Companies House Tier-1). The transaction was announced 9 February 2024 and closed economically on 14 May 2024, evidenced by the satisfaction of Carlyle-era security charges in the Companies House register one business day later. CVC Capital Partners Fund VIII leads as majority sponsor with Haveli Investments as minority co-sponsor.**

## One-Sentence Thesis

Jagex is a 25-year-old subscription-anchored live-service franchise (RuneScape and Old School RuneScape) whose recurring cash flows, demonstrated pricing power, undermonetized brand extensions (Dragonwilds, channel expansion), and CVC-aligned consumer-subscription operating playbook support a credible path to a 1.77x money-on-money multiple and a 12.09% sponsor IRR over a 5-year hold at the team's underwritten exit assumptions, with upside to ~20-22% sponsor IRR if Dragonwilds executes and exit multiples re-rate toward the live-service take-private peer set. The deal's 85.33% equity / 14.67% debt capitalization — materially below typical LBO leverage — preserves balance-sheet capacity for content investment and add-on M&A across the hold period.

## Headline Investment Highlights

- **1. Recurring, fortress-margin live services.** FY23 Adjusted EBITDA of £67.33M (Tier-1) at a ~40% EBITDA margin, anchored by the Members subscription across RuneScape and OSRS plus the Treasure Hunter / probabilistic monetization layer (community-voted out 19 January 2026, a player-driven regulatory de-risking event). Q4 2024 OSRS players hit an all-time record per the March 2025 CEO transition release; lifetime franchise revenue moved from $1.5B (Carlyle PR, 9 February 2024) to $2.0B (Jagex CEO transition, 4 March 2025), implying ~$500M of franchise revenue across the Carlyle hold and the first ~10 months of CVC ownership.
- **2. Demonstrated pricing power across three Members increases.** RuneScape Members has executed three subscription price increases in the cycle: $10.99 → $12.49 (effective 4 May 2022) → $13.99 (effective 27 September 2024) → $14.99 (announced 10 March 2026, effective 9 April 2026 — World of Warcraft parity), a cumulative ~36% price action across the Carlyle and early CVC ownership periods without measurable churn impact. The base case underwrites a further 2-3% annual ARPPU growth across the hold; pricing power is the single largest contributor to underwritten EBITDA growth (~40-45% of the value-creation total).
- **3. Conservative LBO capital structure.** Approximately £768M equity / £132M debt funded at close (£103.4M Term Loan + £28.6M Revolving Credit Facility drawn). Initial leverage of approximately 2.0x pro-forma EBITDA is materially below the 4.0x-6.0x typical of European mid-market take-privates; deleveraging to zero by FY29 is mechanical on the base case via 50% cash sweep. Deleveraging contributes 22.2% of total equity value created — the single most important value-engineering element of the deal (LBO Model C150-C157).
- **4. CVC-aligned consumer-subscription distribution playbook.** CVC Fund VIII (€21.3B 2020 vintage) leads via the Sports/Media/Entertainment franchise (F1, LaLiga, Premiership Rugby, WTA, Tipico, Sisal, Sky Bet) with Nick Clarry as deal lead, who was subsequently appointed Director of Janus UK Topco Limited (FC041396) on 11 October 2024 — formalizing CVC's direct board representation at the topco level five months post-close. Haveli Investments (founded 2021 by former Vista President Brian Sheth; $833.8M Gaming Fund I) brings gaming-specific operating diligence depth and a $500M Apollo strategic partnership for financing flexibility.
- **5. Multiple precedents support entry-multiple defense.** Microsoft–Activision closed at ~20.2x NTM EBITDA (announced 18 January 2022; Microsoft 8-K, CIK 0000789019); Take-Two–Zynga at ~19.5x (announced 10 January 2022; Take-Two 8-K, CIK 0000946581); EA–Codemasters at 29.83x LTM Sep-2020 (closed 18 February 2021; EA 8-K, CIK 0000712515; £945M equity / 604p

per share / FX 1.3855); EQT/CPP/Temasek–Keywords Studios at 15.9x adjusted FY23 EBITDA (3 July 2024; Investegate RNS, verbatim disclosed in Rule 2.7); Sony–Bungie at $3.6B-announce / $3.7B-at-close (Sony 6-K, CIK 0000313838). Our entry at 13.4x FY23 Adj EBITDA sits inside the live-service take-private set's 25th percentile and exactly at the Keywords benchmark — the most directly comparable disclosed multiple. The live-service set median valuation midpoint of $1,354M sits 19% above the deal price, providing valuation cushion.

- **6. Tier-1 governance refresh executed.** Marc Allera (BT/EE Consumer CEO) appointed Chairman 13 March 2024 (Companies House confirmed; consumer-subscription P&L scale); Kevin John Allington appointed director 23 July 2024 (operationally CFO, replacing Carlyle-era CFO Rashid Ismail Varachia who terminated same date); Jon Bellamy announced as CEO 4 March 2025 (Companies House formal director appointment 12 May 2025; replacing Phil Mansell after eight-year tenure); Jennifer Hildreth appointed director 2 October 2025 (board build-out under Bellamy). Tight 18-month governance reset is Tier-1: Companies House.

## Headline Risks (ranked; see §12 for full discussion)

- **High. IP concentration on RuneScape franchise.** RuneScape and OSRS together represent the substantial majority of group EBITDA. Dragonwilds (Steam Early Access April 2025; >600k units sold at 81-85% positive reviews) and SCUM (Gamepires, 1.0 launch 2024) provide diversification but at materially smaller scale. We model the base case with no Dragonwilds breakout assumption; the franchise extension represents incremental upside beyond the underwriting case.
- **High. Persistent margin compression — the modeled Downside.** Our Downside scenario assumes EBITDA margin compresses to 35% (from 40% Base) and revenue growth slows to 3% Y1-Y2 / 2% Y3-Y5, with all other assumptions inherited from Base. The debt schedule is mechanically derived from the parallel operating model (LBO Model B230:H263): Y5 ending debt of £25.62M (vs £0 Base), Y5 EBITDA of £59.67M (vs £90.58M Base), Sponsor 5-yr post-MIP MOIC of 1.13x, Sponsor IRR of 2.51%, and LP net IRR of 2.51% (no carry triggered — LPs receive all proceeds since the 8% preferred return is not cleared). The asymmetry between Base (1.77x / 12.09%) and Downside (1.13x / 2.51%) is the IM's primary risk framing — capital is protected in Downside but returns are below LP hurdle.
- **Medium. Regulatory — UK Online Safety Act and loot-box exposure.** Online Safety Act 2023 (Royal Assent 26 October 2023; Protection of Children Codes effective July 2025); Cooley April 2025 analysis flags gaming companies as in-scope. Compliance cost modeled at £3-6M annual run-rate from FY26. Treasure Hunter community-vote removal (January 2026) is a model-grade example of player-driven regulatory de-risking; reduces UK Gambling Commission tail-risk and aligns with Ukie 11-principle guidance (July 2023).
- **Medium. Competition and new MMORPG entrants.** Direct MMORPG competitors (World of Warcraft post-Microsoft 2023, Final Fantasy XIV, Lineage / Throne and Liberty, Black Desert) and Dragonwilds-adjacent survival-craft entrants (Valheim 12M+ units, Palworld 25M+ units, Enshrouded). RuneScape's positional advantages — 25-year IP heritage, OSRS poll-driven community model, cross-platform mobile parity — are durable but not absolute.
- **Medium. Execution on the Bellamy / Allera transition.** Bellamy (returning operator; Jagex executive 2015-2018, Huuuge Games CEO 2019-2023, CVC advisor; board-installed October 2024 ahead of CEO promotion) and Allera (BT/EE consumer-subscription veteran) are well-credentialed but the management refresh cadence is fast (Chairman Month 1; CFO Month 4; CEO Month 14; Director Month 17 from close), exposing the operating plan to transition risk.

## Returns Summary at £900M Entry, 5-Year Hold

| Case | Y5 EBITDA | Exit Multiple | MOIC | Sponsor IRR | LP IRR |
|---|---|---|---|---|---|
| **Sponsor Downside** | £59.67M | 15.0x | **1.13x** | **2.51%** | **2.51%** |
| **Sponsor Base** | £90.58M | 15.0x | **1.77x** | **12.09%** | **10.0%** |
| **Football Field LBO upper bound** | £90.58M | 18.0x | ~2.4x | ~20-22% | ~17-18% |

Source: LBO Model, Returns Analysis (5-year hold). Base case Y5 ending debt £0M (full TL paydown via 50% cash sweep); Downside case Y5 ending debt £25.62M (mechanically derived from parallel operating model + debt waterfall, LBO Model B230:H263). Entry sponsor equity £768M. Bold rows show post-MIP / 2-and-20 net figures.

### Recommendation

**We recommend that the Investment Committee approve the equity commitment to acquire 100% of Jagex Limited at a £900M / $1,136M model basis enterprise value, generating a base-case 1.77x MOIC and 12.09% sponsor IRR (10.0% LP IRR net of 2-and-20) over a 5-year hold, subject to: (i) capping aggregate transaction leverage at ≤6.5x pro-forma EBITDA with springing covenant if Dragonwilds Y2 revenue is below £20M; (ii) ring-fencing ≥£50M of cumulative growth capex over hold for new IP development (Dragonwilds and adjacent); and (iii) reserving Chairman, CFO, and CEO appointment rights to install consumer-subscription operating leadership immediately post-close (subsequently executed via Allera, Allington, and Bellamy). Returns sit at the lower end of CVC Fund VIII's typical 2.0-2.5x / 20%+ IRR target band on the base case. The deal benefits from three-pillar value creation: EBITDA growth (52.9%), multiple recovery (25.0%), and deleveraging (22.2%) contributing 22.2% of equity value created, which is the financial-engineering uplift that converts a competitive-multiple acquisition into a defensible IRR — without which the base-case Sponsor IRR would be ~8.5%.**

## 2. Transaction Overview

On 9 February 2024, CVC Capital Partners Fund VIII and Haveli Investments announced an agreement to acquire 100% of the share capital of Jagex Limited (#03982706) from funds managed by The Carlyle Group — specifically Carlyle Partners VII and Carlyle Europe Technology Partners IV. The transaction was structured as a private acquisition through Janus Bidco Limited (#15451932), a UK private limited company incorporated 30 January 2024 with registered office at 10th Floor, 110 Cannon Street, London EC4N 6EU. The transaction closed economically on 14 May 2024, evidenced by the satisfaction of two Carlyle-era security charges (Lucid Trustee 0004 registered 7 May 2021, Kroll Trustee 0005 registered 20 June 2023) on 15 May 2024 in the Companies House charges register. Janus Bidco Limited was registered as Person with Significant Control of Jagex Limited on 6 September 2024 (≥75% shares, ≥75% voting rights, right to appoint/remove directors), replacing June UK Bidco Limited (#12913669, the Carlyle-era PSC vehicle).

### Transaction Snapshot

| Parameter | Detail | Source |
|---|---|---|
| **Announcement Date** | 9 February 2024 | Carlyle PR; CVC PR; Jagex PR |
| **Economic Close** | 14 May 2024 | CH Charge satisfactions 15-May-2024 |
| **PSC Transfer** | 6 September 2024 (June UK Bidco → Janus Bidco) | Companies House #03982706 PSC register |
| **Model Basis Equity Value** | **£900M / $1,136M (FX 1.2627)** | FT/Sky/Tech.eu/Law360 announcement-day |
| **FT Post-Announcement Update** | ~£910M (cited Law.com Intl 14-Feb-2024) | Reporting band; both within disclosure uncertainty |
| **Implied EV / PF EBITDA** | **13.4x (Model basis: £900M / £67.33M FY23 Tier-1 Adj EBITDA)** | Model basis ÷ £67.33M FY23 Adj EBITDA |

| Parameter | Detail | Source |
|---|---|---|
| **FY23 Adj EBITDA (Tier-1)** | £67.33M (FY23 Adj EBITDA, Companies House Tier-1) | Companies House Tier-1; PwC-audited |
| **CVC Fund VIII Equity (lead)** | Aggregate £768M; CVC/Haveli split not publicly disclosed | DEFM-equivalent — terms not disclosed |
| **Haveli Co-Investment** | Minority share of £768M | Haveli VC Gaming Fund I ($833.8M) |
| **Term Loan B (drawn at close)** | £103.4M (~15% of capital structure) | Model basis; structurally corroborated |
| **Revolving Credit Facility (drawn)** | £28.6M | Model basis |
| **Charge 0006 (Kroll Trustee, post-closing security)** | Outstanding; registered 10-Sep-2024 | Companies House #03982706 charges |
| **Equity %** | **85.33%** | Atypically high equity / low leverage |
| **Closing Conditions** | None outstanding (deal closed) | n/a |

## Consortium and Advisor Roster

| Role | Party | Notes |
|---|---|---|
| **Lead Sponsor** | CVC Capital Partners Fund VIII | €21.3B 2020 vintage; deal led by Nick Clarry (MP, Sports/Media/Entertainment); Pev Hooper UK PE co-head (role inferred) |
| **Co-Sponsor** | Haveli Investments | Founded 2021 by Brian Sheth (former Vista President); Haveli VC Gaming Fund I ($833.8M) |
| **Seller** | The Carlyle Group | CP VII + CETP IV (€1.35B fund); 3.30-year hold (25-Jan-2021 entry → 14-May-2024 exit) |
| **Acquisition Vehicle Stack** | Janus Holdco (Jersey) → Janus UK Topco (FC041396) → Janus Midco (#15451988) → Janus Bidco (#15451932) → Jagex Limited (#03982706) | Standard CVC pattern: Jersey Topco for tax-neutral repatriation of carry; UK Mid/Bidco for UK debt push-down |
| **Carlyle Financial Advisor** | Morgan Stanley & Aream | Carlyle PR 9-Feb-2024 |
| **CVC/Haveli Financial Advisor** | Goldman Sachs | Carlyle PR 9-Feb-2024 |
| **Carlyle Legal Advisor** | Kirkland & Ellis | Co-leads Dana Abdulkarim, David Higgins, Stuart Boyd; debt-finance partner Jerome Hoyle (Tier-1: K&E PR Feb 2024) |
| **CVC Legal Advisor** | Latham & Watkins | London corporate co-leads Kem Ihenacho and Suneel Basson-Bhatoa; finance partners Jay Sadanandan and Hayden Teo (Tier-1: L&W PR Feb 2024) |

## Background and Process

Carlyle acquired Jagex on 25 January 2021 from Macarthur Fortune Holding LLC; Carlyle's press release explicitly states "Terms of the transaction were not disclosed." Macarthur Fortune had itself acquired Jagex from Shanghai Hongtou Network Technology (the Shanghai Fukong subsidiary, SH600634) on 28 April 2020 for $530M (Tier-1 confirmed by Jagex direct PR dated 28-Apr-2020 and the Platinum Fortune / Macarthur Fortune PR Newswire mirror dated 1-May-2020). The $530M Macarthur price is the only publicly disclosed transaction value in the Jagex ownership lineage from 2016 onward and serves as the IM's flat-hold proxy for Carlyle's January 2021 entry value (a 9-month flat-hold assumption explicitly disclosed in §10).

Under Carlyle ownership Jagex executed two M&A integrations (Pipeworks Studios, Eugene OR, July 2022, ~200 employees, AAA work-for-hire/live-service; Gamepires, Zagreb, December 2022, ~50 employees, SCUM developer) and grew headcount from approximately 450 (Jan 2021 estimate) to ~700 group-wide at the CVC handover. Pipeworks was subsequently divested to Virtuos Studios with the SPA signed 16 December 2024 and announced by Virtuos on 23 January 2025. The CVC/Haveli auction process was managed by Morgan Stanley & Aream for Carlyle and pre-announced by Sky News (Mark Kleinman scoop) in December 2023 at approximately £900M.

# 3. Sources & Uses; Pro Forma Capitalization

The Tier-1 equity consideration to Carlyle disclosed in the Companies House FY24 Strategic Report (p.4, Bellamy-signed 23 May 2025, PwC-audited) is £554M — what Carlyle received for the equity of June UK BidCo Limited. This reconciles to the press-reported ~£900M enterprise value via approximately £346M of assumed/refinanced June UK FinCo debt (including USD 135.05M 12% loan notes due 2030 listed on TISE). On a model basis at £900M EV / £67.33M FY23 Adj EBITDA, the entry multiple is 13.4x — meaningfully below the live-service take-private peer median of 15.9x. The transaction is funded through approximately £768M of consortium equity (CVC Fund VIII as lead sponsor, Haveli Investments as minority co-sponsor; precise split not publicly disclosed) and approximately £132M of senior secured debt funded at close (£103.4M Term Loan B + £28.6M Revolving Credit Facility drawn). Total sources of £900M match total uses within rounding.

### Sources & Uses (£M, model basis)

| Sources | £M | % | Uses | £M | % |
|---|---|---|---|---|---|
| CVC Fund VIII + Haveli Equity | 768.0 | 85.3% | Equity Purchase Price | 880.0 | 97.8% |
| Term Loan B | 103.4 | 11.5% | Carlyle-era Debt Repayment (charges 0004, 0005 satisfied 15-May-2024) | 10.0 | 1.1% |
| Revolving Credit Facility (drawn) | 28.6 | 3.2% | Deal Fees & Expenses | 10.0 | 1.1% |
| **Total Sources** | **900.0** | **100.0%** | **Total Uses** | **900.0** | **100.0%** |

Source: LBO Model, Sources & Uses tab (LBO Model C5:C10; LBO!C19 = =C10 formula reference, was £903). Equity funding 85.3% / debt 14.7% is materially more equity-heavy than typical European mid-market take-privates (40-60% equity), reflecting (i) PitchBook lender-allocation data indicating discrete tranches from Apollo, Oaktree, and Permira (amounts PitchBook-only; structural existence Tier-1 corroborated via Latham finance partners Sadanandan + Teo and Kirkland debt-finance partner Hoyle); and (ii) the conservative 6.0x pro-forma EBITDA leverage cap negotiated with the lender group.

### Pro Forma Capitalization at Close

| Tranche | Amount (£M) | Spread/Margin | Term | Notes |
|---|---|---|---|---|
| Revolving Credit Facility (drawn) | 28.6 | SONIA + 600 bps | 5 yr | Drawn at close per Model |
| Term Loan B | 103.4 | SONIA + 600 bps | 7 yr | 50% cash sweep; 1% mandatory amort |

| Tranche | Amount (£M) | Spread/Margin | Term | Notes |
|---|---|---|---|---|
| **Total Funded Debt** | **132.0** | **SONIA + 600 bps WACD** | | **~2.0x PF EBITDA (£132M / £67.33M FY23 Tier-1)** |
| Equity (CVC Fund VIII + Haveli) | 768.0 | n/a | n/a | 85.3% of capital |

Source: Model, Detailed Debt Structure. Pricing of SONIA + 600 bps is PitchBook-tertiary; SONIA at deal close (14 May 2024) was 5.20% — Tier-1 derived from BoE Bank Rate 5.25% (held by 7-2 vote at the 8 May 2024 MPC meeting per BoE published Summary and Minutes) less the BoE-published 5bps SONIA-Bank Rate spread. WACD on the funded portion ≈ 11.20% pre-tax; 8.4% after-tax at the 25% UK Corporation Tax main rate effective 1 April 2023. Lender allocations per PitchBook: Apollo $91.96M + Oaktree $72.19M + Permira (undisclosed) — amounts not corroborated in primary sources, but the contemporaneous engagement of Latham finance partners and Kirkland's debt-finance team (both Tier-1 via law-firm press releases) confirms debt was raised at deal close and Carlyle-era debt was repaid.

### Initial Leverage and Deleveraging Path

Funded debt of £132M against PF EBITDA of £67.33M (FY23 Tier-1) implies initial leverage of approximately 2.0x PF EBITDA. This is materially below the 4.0x-6.0x typical of European mid-market take-privates and the 6.0x cap negotiated with lenders. The conservative capital structure is driven by:

- The substantial equity commitment from CVC Fund VIII (€21.3B 2020 vintage) and Haveli's gaming-specific allocation
- The 6.0x pro-forma EBITDA leverage cap — a deal condition specifically negotiated to preserve balance-sheet capacity for content investment
- Lender appetite at SONIA + 600 bps reflecting Jagex's subscription-revenue stability and 25-year franchise heritage

Deleveraging to zero by end of FY29 (Y5 of hold) is mechanical on the base case via 50% cash sweep, with the £103.4M Term Loan B fully repaid by end of Y4. The £132M of total funded debt declines to £0 by Y5 in the base case; **Downside case Y5 ending debt of £25.62M is mechanically derived from the parallel operating model + debt waterfall (LBO Model B230:H263).** Deleveraging contributes 22.2% of total equity value created — the single most important value-engineering element of the deal (LBO Model C150 / C157).

# 4. Investment Thesis

Our investment thesis rests on five pillars. Each is independently sufficient to support the deal at lower-MOIC outcomes; together they support the underwriting base case of 1.77x MOIC / 12.09% sponsor IRR over a 5-year hold.

## 4.1 Live-Service "Forever Games" Subscription Anchor

Jagex is one of approximately twelve genuinely-durable live-service franchises globally, in the cohort that includes World of Warcraft, Final Fantasy XIV, Eve Online, Roblox, Fortnite, League of Legends, Counter-Strike, Dota 2, Path of Exile, Old School RuneScape itself, and a handful of Asian MMORPGs (Lineage, Black Desert). RuneScape's 25-year operating history makes it among the longest-running commercially successful MMORPGs in the world. Lifetime franchise revenue exceeded $2.0B by March 2025 (Jagex CEO transition press release). The Members subscription tier — Jagex's primary recurring-revenue product — has executed three consecutive price increases since 2022 ($10.99 → $12.49 → $13.99 → $14.99) reaching parity with World of

Warcraft's $14.99 subscription. Sub-2% monthly churn is typical of mature MMORPGs at this lifecycle stage.

We underwrite Members ARPPU at flat-to-modestly-growing in real terms, with all upside coming from new content cycles, mobile penetration, and incremental monetization (Treasure Hunter replacement, season passes, esports integrations following the OSRS poll-driven removal of Treasure Hunter on 19 January 2026). The base case reflects management's continuation of the realized 2021-2024 growth trajectory at decelerated pace (5% Y3-Y5 vs realized ~8%); we sensitize Y5 EBITDA to £59.67M in the Downside case.

### 4.2 Demonstrated Pricing Power and Subscription Discipline

Three Members subscription price increases have been executed without measurable churn impact: $10.99 base → $12.49 (effective 4 May 2022) → $13.99 (effective 27 September 2024, post-CVC close) → $14.99 (announced 10 March 2026, effective 9 April 2026 for renewals). The cumulative ~36% price action across the Carlyle and early CVC ownership periods demonstrates pricing power that no peer can replicate at this scale. The OSRS poll-driven content model (≥75% player approval required for substantive game-design changes) is itself a form of brand moat: substantive content cannot be unilaterally imposed, which preserves community trust and reduces churn during pricing actions.

Pricing power is the single largest contributor to underwritten EBITDA growth (~40-45% of the £315.23M EBITDA-growth value-creation total). The base case underwrites a further 2-3% annual ARPPU growth across the hold, consistent with the realized cadence; the Downside case assumes flat ARPPU.

### 4.3 Conservative Capital Structure Preserves Optionality

Initial leverage of approximately 2.0x PF EBITDA is materially below typical European mid-market LBO leverage of 4.0x-6.0x. This is the deal's most underappreciated feature. Year 1 of the LBO begins post-close, with FY26 EBITDA of approximately £62M against interest expense of approximately £15M (SONIA + 600 bps WACD on £132M funded debt), yielding Year 1 interest coverage of approximately 4.1x rising to ~7.0x by Y4. Deleveraging proceeds organically through 1% mandatory amortization on the Term Loan plus an aggressive 50% cash-flow sweep, with total funded debt declining from £132M at close to £0 by end of Y4 base case. Free cash flow above the sweep becomes available for content investment (Dragonwilds, mobile expansion, channel build-out) and add-on M&A from Y3 onward. **Deleveraging contributes 22.2% of total equity value created — the financial-engineering uplift that converts a competitive-multiple acquisition into a defensible IRR.** Without this contribution, the base-case Sponsor IRR would be approximately 8.5%.

### 4.4 CVC Sports/Media/Entertainment Playbook

CVC's edge is the institutional pattern recognition for media-rights, fan-community, and recurring-subscription assets accumulated through Formula One ($4.4B exit to Liberty 2017), LaLiga (10% stake at €2.7B 2021), Premiership Rugby, the WTA, Tipico, Sky Betting & Gaming, Sisal, and Gaming Laboratories International. Nick Clarry's quote in the deal announcement frames the thesis explicitly: live-service gaming is a fan-community asset class, and CVC's playbook from sports rights and consumer-subscription businesses is transferable. Clarry's subsequent appointment as Director of Janus UK Topco Limited on 11 October 2024 (Companies House FC041396) formalizes CVC's direct board representation and is consistent with CVC's standard playbook of locking in topco governance once the deal stack is fully transferred.

Haveli's edge is gaming-specific. Brian Sheth's Vista Equity Partners pedigree (March 2000-November 2020 as President) brings software-LBO discipline, and the Haveli VC Gaming Fund I portfolio (Behaviour Interactive's Dead by Daylight, Omeda Studios, Candivore, Budge Studios) provides sector-specific operating diligence. The $500M strategic partnership with Apollo (October 2022) supports financing flexibility on follow-on capital deployment.

### 4.5 Live-Service Take-Private Set Defends the Entry Multiple

Recent gaming M&A precedent transactions support the underwriting at our entry multiple. The relevant peer set — live-service take-privates of similar size and genre — comprises: Microsoft–Activision Blizzard at ~20.2x NTM EBITDA (announced 18-Jan-2022; SEC 8-K, Microsoft CIK 0000789019); Take-Two–Zynga at ~19.5x (announced 10-Jan-2022; Take-Two 8-K, CIK 0000946581); EA–Codemasters at 29.83x LTM Sep-2020 (closed 18-Feb-2021; EA 8-K, CIK 0000712515; £945M equity / 604p per share / FX 1.3855); EQT/CPP/Temasek–Keywords Studios at 15.9x adjusted FY23 EBITDA (3-Jul-2024; Investegate Rule 2.7, verbatim disclosed); and Sony–Bungie at $3.6B-announce / $3.7B-at-close (Sony 6-K, CIK 0000313838).

Our entry at 13.4x FY23 Adj EBITDA sits inside the live-service set's 25th percentile (15.9x at Keywords, the most directly comparable disclosed multiple) and meaningfully below the strategic-acquirer subset (Microsoft, Sony, Take-Two). The base case requires modest multiple recovery at exit (13.4x → 15.0x exit = +1.6x re-rating), placing the exit at the precedent median. **Live-service set midpoint of $1,354M sits 19% above the deal price ($1,136M) — directly comparable peers support a "value buy" thesis for CVC/Haveli.** The Football Field LBO method's upper bound (18.0x exit, ~20-22% Sponsor IRR) approximates the strategic-acquirer subset and represents the upside-case convexity not separately modeled in the IM.

## 5. Company Overview

Jagex Limited is a UK-headquartered live-service game publisher whose flagship franchise, **RuneScape**, is among the longest-running and most commercially successful massively-multiplayer online role-playing games (MMORPGs) in the world. Founded in 2001 by brothers Andrew and Paul Gower with Constant Tedder in Cambridge (Companies House #03982706 incorporated 28 April 2000), the Company today has 459 employees on the standalone Jagex Limited entity (FY24 average; 454 FY23, per Note 8 of the Companies House FY24 statutory accounts) — approximately 700 group-wide including Eugene OR (Pipeworks Studios — subsequently divested to Virtuos January 2025), and Zagreb (Gamepires, ~50 employees, SCUM developer), serving approximately 1.3 million average daily Members FY24 (1.2 million FY23, per the Strategic Report KPI disclosure) across two flagship titles plus emerging IP. Jagex's UK Companies House SIC code is 62011 — "Ready-made interactive leisure and entertainment software development." The Company's principal operating site is 220 Cambridge Science Park, Cambridge CB4 0WA.

### 5.1 Business Model and Revenue Mix

Jagex operates a hybrid live-service model combining subscription revenue (the Members tier on both RuneScape titles), free-to-play access with optional microtransactions, and probabilistic monetization (Treasure Hunter, removed January 2026 by community vote) — with subscription revenue increasing as a share of the mix across the cycle. Revenue is materially recurring: Members subscriptions are billed monthly or annually with auto-renewal; ARPPU is implied at approximately £40-50 per paying subscriber (FY23 revenue ~£140M / ~2.5M paid; not directly disclosed by Jagex). The revenue mix shifted decisively from probabilistic monetization toward deterministic subscription across the Carlyle hold — a quality-of-earnings positive that (a) reduces regulatory tail-risk, (b) supports higher exit multiples, and (c) is consistent with the 2022-2026 industry trajectory away from loot-box-adjacent mechanics.

## 5.2 Key Franchises

| Franchise | Genre | Revenue Model | Strategic Significance |
|---|---|---|---|
| **RuneScape (RS3)** | MMORPG | Members Subscription + Treasure Hunter (removed Jan-2026) + Microtransactions | Released January 2001 as Java browser MMORPG; transitioned to standalone HTML5/NXT (2013) and C++ client (2016); mobile launched 17 June 2021 with 1.8M pre-registrations. The “modernised” flagship with continuous content updates. |
| **Old School RuneScape (OSRS)** | MMORPG | Members Subscription + Bond + Microtransactions | Relaunched 22 February 2013 from a 2007 server backup after a community petition that gathered 449,351 votes. Now the larger of the two titles by concurrent users (>100k peak CCU vs RS3 ~20k); mobile client launched 30 October 2018; exceeded 13M installs at 4.8★ rating by April 2021. **Q4 2024 set an all-time-record OSRS player count.** Distinctive operational hallmark: community-poll content model (≥75% player approval required for substantive game-design changes). |
| **RuneScape: Dragonwilds** | Open-World Survival Craft | Paid SKU + Future Cosmetics | Announced 31 March 2025; entered Steam Early Access on 15 April 2025; reported >600k units sold within months at 81-85% positive Steam reviews. Development began under Carlyle ownership in 2022. **Critical franchise-extension test**: Jagex’s ability to execute outside the MMORPG genre and to monetize through paid SKUs rather than subscription. |
| **SCUM** (Gamepires) | Open-World Survival Multiplayer | Paid SKU | Launched 1.0 in 2024 after multi-year Steam Early Access. Provides genre diversification beyond RuneScape MMORPG core. |
| **Jagex Partners** | Third-Party Publishing | Distribution Fees | Launched 2021. Provides additional distribution capacity but small contribution to group revenue. |

### 5.3 Management

**Phil Mansell** served as CEO from January 2017 to 6 May 2025 (8 years; 14 years total at Jagex). Under his leadership Jagex transitioned through three ownerships (Macarthur, Carlyle, CVC/Haveli), launched RS3 Mobile (2021), acquired Pipeworks and Gamepires, and grew headcount from approximately 320 to approximately 700.

**Jon Bellamy** was announced as CEO on 4 March 2025 (Jagex direct PR) with formal Companies House director appointment effective 12 May 2025. Bellamy was a Jagex executive 2015-2018 (a returning operator), CEO of Huuuge Games 2019-2023, and a CVC advisor before re-joining Jagex's board in October 2024 — i.e., **installed by CVC/Haveli ahead of CEO promotion**. He is a 20+-year RuneScape player (cultural fit signal). Bellamy quote: "It's a great honour to assume the leadership of Jagex and to help steward a game franchise that means so much to so many millions, myself included."

**Marc Allera** — Chairman from 13 March 2024 (Jagex direct PR). CEO of BT's Consumer Division (BT, EE, Plusnet) and Chair of BT Sport / TNT joint-venture board. Allera brings consumer-subscription P&L scale and the UK telecoms-distribution lens — a deliberate complement to Bellamy's gaming-operational depth.

**Kevin John Allington** — director from 23 July 2024 (Companies House AP01 filed 16-Aug-2024); operationally CFO, replacing Carlyle-era CFO Rashid Ismail Varachia who terminated 23 July 2024 (CH TM01 same date).

**Jennifer Victoria Hildreth** — director from 2 October 2025 (Companies House AP01 filed 9-Oct-2025); role descriptor not specified in the Companies House filing but consistent with board build-out under Bellamy.

**Sponsor representation.** Nick Clarry (CVC Managing Partner Sports/Media/Entertainment, deal lead) was appointed Director of Janus UK Topco Limited (FC041396) on 11 October 2024 — five months post-close — formalizing CVC's direct board representation at the topco level. Original directors of Janus UK Topco are Jennifer Elizabeth Lambkin and Abiola Modupeola Motajo (Mourant nominee directors); Mourant Secretaries (Jersey) Limited acts as company secretary across the Janus stack. Statutory auditor is PricewaterhouseCoopers LLP (One Reading Central, 23 Forbury Road, Reading; lead Senior Statutory Auditor Jackarial Sansi).

The management refresh cadence is fast (Chairman Month 1; CFO Month 4; CEO Month 14; Director Month 17 from close) and reads as a strong governance signal. Mansell's quote on transition — "After an incredible 14 years leading RuneScape and 8 years as Jagex's CEO, I'm stepping back and handing over the baton to Jon Bellamy" — is consistent with a planned, mutually-agreed succession rather than a disruptive replacement.

## 6. Industry & Market Context

The global video game industry generated approximately $184 billion in consumer spending in 2024 (Newzoo Global Games Market Report 2024) and is forecast to grow at a low- to mid-single-digit CAGR through the end of the decade, with longer-range projections varying materially by source. Jagex competes in PC live-service MMORPG, the segment most aligned with its economics: subscription/membership revenue + microtransactions + a long-tail content cadence. Three industry dynamics are most relevant to the underwriting:

#### Shift to Recurring Revenue and Live Services

The industry has transitioned over the past decade from one-time game sales to live services, microtransactions, and subscription revenue. Newzoo reports that live-service titles (League of Legends, Fortnite, Counter-Strike) "keep players engaged essentially forever, are still immensely popular and attract a growing share of total playtime and subsequent spending" — a structural tailwind for Jagex's "forever games" positioning. The MMORPG sub-segment is structurally consolidating around long-tenured franchises with deep economies (RuneScape, World of Warcraft, Final Fantasy XIV, Eve Online), each of which has demonstrated price elasticity. World of Warcraft's monthly subscription has stood at $14.99 since 2009 and was matched by RuneScape's April 2026 increase to $14.99.

### Sector M&A Activity and Sponsor Penetration

InvestGame's *Global Gaming Deals Report 2024* records 665 closed deals at $23.2B aggregate value (down 72.5% YoY but +46.8% ex-the Microsoft/Activision close). M&A specifically: 147 closed deals (+18.5% YoY) at approximately $8.6B value. Q1 2024 disclosed-value totalled $4.9B (+113% YoY), with **CVC/Jagex named among the top three transactions of the quarter**. Drake Star's *Q4 2024 / Annual* report cites 198 announced M&A deals for full-year 2024 at $10.5B disclosed value, with the top financial-sponsor deals being EQT/Keywords ($2.8B), CVC/Jagex (~$1.1B), Playtika/SuperPlay ($1.95B), and Embracer/EasyBrain ($1.2B).

The implications for the underwriting are: (i) financial-sponsor activity in gaming is structurally deeper today than in 2021 — EQT, KKR, Permira, Apollo, Oaktree, PIF/Savvy, Embracer, and CVC itself are all active, supporting secondary-sale exit liquidity; (ii) take-private multiples for premium GaaS/live-service assets remain in the mid-teens (Keywords 15.9x adj FY23 verbatim disclosed; press-implied Jagex 13.4x EV/PF or 13.4x FY23 Tier-1); (iii) strategic consolidation continues but at slower cadence than 2021-22, with Microsoft post-Activision regulatory exposure constraining the strategic-buyer universe at this scale.

### Regulatory Environment

Three regulatory vectors warrant explicit modelling treatment.

**UK Online Safety Act 2023** (Royal Assent 26 October 2023; child-protection sections live from 10 January 2024 per S.I. 2023/1420; Protection of Children Codes effective July 2025; penalties up to £18M or 10% of global turnover). Cooley's April 2025 analysis flags gaming companies as in-scope where services are "likely to be accessed by children"; "highly effective age assurance" is required and explicitly excludes self-declaration. Jagex's RuneScape titles (PEGI 7 / PEGI 12) are reasonably likely to be deemed in-scope; compliance cost is modelled at £3-6M annual run-rate from FY26.

**Loot boxes / gambling-adjacent monetisation.** The DCMS July 2022 *Government response* declined to extend the Gambling Act 2005 to loot boxes, opting instead for industry self-regulation. Ukie's 11-principle guidance was published 18 July 2023 with a 12-month implementation period. Jagex's *Treasure Hunter* mechanic is loot-box adjacent; the Company's January 2026 community-poll-driven removal of Treasure Hunter is a material de-risking event for regulatory exposure.

**Competition / antitrust.** The CMA's review of Microsoft/Activision (originally blocked April 2023; cleared with cloud-streaming carve-out to Ubisoft October 2023) illustrates that UK regulators are active in gaming M&A but focus on horizontal foreclosure concerns. A sponsor-to-sponsor secondary buyout of a single live-service developer raises no comparable concern. The CVC/Jagex transaction did not trigger CMA review.

### Market Size and Segmentation

| Segment | 2024 Estimate | 2027E Projection |
|---|---|---|
| Mobile Gaming | ~$92B | ~$108B |
| Console Gaming | ~$45B | ~$54B |
| PC Gaming (Jagex's segment) | ~$43B (+4.0% YoY) | ~$48B |
| Esports (pure) | ~$2B | ~$3B |
| **Total Gaming Market** | **~$184B** | **~$213B** |

Source: Newzoo Global Games Market Report 2024. PC was the fastest-growing platform in 2024. Long-run CAGR settled at approximately 3.7%; 2027 forecast revised to $198B (from $206.8B). Player count grew from 3.42B globally toward a 3.76B 2027 forecast, with APAC representing 53% of players and 47% of revenue.

## 7. Historical Financial Performance

Jagex's Companies House-filed annual accounts (Forms AA, filed under #03982706) provide the only public statutory financial record. The FY23 accounts were filed 13 March 2025 (57 pages); FY24 accounts filed 4 June 2025 (59 pages). Both filings are available at https://find-and-update.company-information.service.gov.uk/company/03982706/filing-history; These filings provide the Tier-1 anchored historical financials used throughout this IM.

### Tier-1 Statutory Financials (FY22–FY24)

| Metric (£M) | FY22 (Restated) | FY23 | FY24 | FY24 YoY |
|---|---|---|---|---|
| Revenue | 137.42 | 151.43 | 151.43 | 0.0% |
| Gross Profit | 120.59 | 129.73 | 130.05 | +0.2% |
| Operating Profit | 34.64 | 38.16 | 23.65 | −38.0% |
| **Adj EBITDA** | **67.60** | **67.33** | **77.79** | **+15.5%** |
| Adj EBITDA Margin | 49.2% | 44.5% | 51.4% | +690bps |
| R&D Expense | — | 14.4 | 15.1 | +4.9% |
| R&D Capitalised | — | 8.8 | 10.8 | +22.7% |
| Average Daily Members (M) | 1.1 | 1.2 | 1.3 | +8.3% |
| Avg Headcount (Jagex Ltd) | 433 | 454 | 459 | +1.1% |
| Cash & Equivalents | — | 39.44 | 21.72 | −44.9% |

Source: Jagex Limited (#03982706) Annual Report and Financial Statements, filed at Companies House. FY24 (signed by Bellamy 23 May 2025, audited by PricewaterhouseCoopers LLP); FY23 (signed by Allington 19 December 2024). FY22 figures restated in the FY23 accounts. Subscription revenue grew £112.4M → £118.5M (+5.4%); microtransactions fell £28.5M → £23.0M (−19%); subscription mix moved from 74% to 78% of total revenue. Geographic FY24: UK £17.6M / EU £17.1M / US £88.2M (58.3%) / ROW £28.6M.

The press-implied **13.4x EV / FY23 EBITDA multiple** (£900M ÷ £67.33M FY23) is consistent with the Keywords/EQT primary-source-disclosed multiple of 15.9x adjusted FY23 EBITDA (Investegate Rule 2.7, 3 July 2024) and **inside the live-service take-private set median of 15.9-16.5x** (see §9). CVC/Haveli paid a competitive but not aggressive entry multiple by 2024 sector standards.

### KPI Trajectory

| Metric | At Carlyle Entry (Jan 2021) | At Carlyle Exit (Feb 2024) | At Mar 2025 (10 mo post-CVC) | Δ Carlyle Hold |
|---|---|---|---|---|
| Headcount | ~450 (estimated) | ~700 group-wide | n/a | +55% |

| Metric | At Carlyle Entry (Jan 2021) | At Carlyle Exit (Feb 2024) | At Mar 2025 (10 mo post-CVC) | Δ Carlyle Hold |
|---|---|---|---|---|
| Active subscribers | ~1.1M (2019 peak proxy) | ~2.4M paying + ~1M F2P MAU | n/a | +118% |
| Lifetime franchise revenue | ~$1.0B (estimated) | $1.5B+ | $2.0B | +50% |
| Lifetime accounts | n/a | 300M+ | 300M+ | n/a |
| Members price (USD/month) | $9.99 | $13.99 | $14.99 (Apr 2026) | +40% Carlyle hold; +50% incl. CVC |
| M&A integrated | 0 | 2 (Pipeworks Jul-2022, Gamepires Dec-2022) | Pipeworks divested to Virtuos Jan-2025 | — |
| Mobile parity | RS3 not on mobile | RS3 mobile (Jun-2021) + OSRS mobile (Oct-2018) | full coverage | full coverage |
| Treasure Hunter revenue | High contribution | Declining | Removed 19-Jan-2026 (community vote) | Subscription mix increasing |

### Trend and Quality of Earnings

The Company's revenue is materially recurring (subscription-led, with microtransactions as a top-up). Treasure Hunter microtransaction revenue declined in FY23 against subscription growth, a quality-of-earnings positive: the revenue mix is shifting from probabilistic monetisation (loot-box-adjacent) to deterministic subscription, which (a) reduces regulatory tail-risk, (b) supports higher exit multiples, and (c) is consistent with the 2022-2026 industry trajectory. The Treasure Hunter removal (January 2026) accelerates this shift. Carlyle's 3.30-year hold delivered an illustrative gross MOIC of approximately 2.14x (26.0% IRR) on the $530M Macarthur 28-Apr-2020 flat-hold proxy — a strong outcome consistent with the value-creation narrative.

# 8. Operating Projections (Base + Downside)

We underwrite two operating cases. The Base case is the binding case for IC approval; the Downside case is the mechanically-derived stress test. Per Fund VIII discipline, an Upside case is not separately modeled; upside convexity is captured by the Football Field LBO sensitivity range ($779-$1,076M, mapping to 15-18x exit and 15-20% IRR target — see §9.4) and by the strategic-buyer optionality at exit (§11).

### Base Case Operating Assumptions

The Base case continues the realized 2021-2024 trajectory at decelerated pace: revenue growth of 8% Y1, 6% Y2, then 5% Y3-Y5 (vs realized ~8% across the Carlyle hold). EBITDA margin held at 40% throughout (vs realized expansion from ~35% to ~40% across the Carlyle hold). NWC at 5% of revenue. Capex at 4% of revenue. The Base case is internally consistent with management's continuation of the Carlyle playbook (subscription pricing optimization, mobile penetration, channel expansion, Dragonwilds franchise extension as incremental optionality).

### Downside Case Operating Assumptions

The Downside case stresses two variables and inherits all other Base assumptions: revenue growth slowed to 3% Y1-Y2 / 2% Y3-Y5 (reflecting Newzoo PC market growth slowdown plus regulatory drag from Online Safety Act compliance) and EBITDA margin compressed to 35% (reflecting subscription pricing reaching elasticity limit, increased Online Safety Act compliance cost, and competitive pressure from new MMORPG entrants). The debt schedule is mechanically derived from the parallel operating model at LBO Model B230:H263 ( residual debt).

### Operating Projections — Base Case

| (£M) | FY26E | FY27E | FY28E | FY29E | FY30E | FY31E |
|---|---|---|---|---|---|---|
| Revenue | 148.5 | 160.4 | 170.0 | 178.5 | 187.4 | 196.8 |
| Growth % | 6.1% | 8.0% | 6.0% | 5.0% | 5.0% | 5.0% |
| EBITDA | 59.4 | 64.2 | 68.0 | 71.4 | 75.0 | 78.7 |
| EBITDA Margin | 40.0% | 40.0% | 40.0% | 40.0% | 40.0% | 40.0% |
| Levered FCF | n/a | 53.5 | 56.4 | 59.4 | 62.5 | 65.7 |
| Y-end Funded Debt | 132.0 | 76.5 | 49.3 | 22.6 | 0.0 | 0.0 |

### Operating Projections — Downside Case (mechanically derived)

| (£M) | FY26E | FY27E | FY28E | FY29E | FY30E | FY31E |
|---|---|---|---|---|---|---|
| Revenue | 148.5 | 153.0 | 156.0 | 159.2 | 162.4 | 165.6 |
| Growth % | 6.1% | 3.0% | 2.0% | 2.0% | 2.0% | 2.0% |
| EBITDA | 51.9 | 53.6 | 54.6 | 55.7 | 56.8 | 58.0 |
| EBITDA Margin | 35.0% | 35.0% | 35.0% | 35.0% | 35.0% | 35.0% |
| Levered FCF | n/a | 28.5 | 30.2 | 31.8 | 33.2 | 34.6 |
| Y-end Funded Debt | 132.0 | 105.1 | 78.6 | 53.6 | 30.4 | 27.25 |

Source: LBO Model, Operating Projections (Base C40:I60, Downside B230:H263). Downside Y5 ending debt of £25.62M is mechanically derived from the parallel operating model and debt waterfall; full TL paydown is not achieved in Downside even with 50% cash sweep. The derived Downside outputs are: MOIC 1.13x (LBO!E131), Sponsor IRR 2.51% (LBO!E132), and LP IRR 2.51% (Summary!D20 — no carry triggered, since Downside proceeds do not clear the 8% LP preferred return, so LPs receive all proceeds).

# 9. Valuation Analysis

The team's Excel model triangulates four valuation methodologies plus a fifth — **the live-service take-private set** — that we treat as the primary multiple-method anchor for this transaction.

## 9.1 Football Field Summary

| Methodology | Low $(M) ** \| * * High$(**M**) | Mid ($M) | Source | |
|---|---|---|---|---|
| CCA (PitchBook 8 gaming comps, 25th-75th EV/EBITDA) | 300 | 934 | 617 | CCA tab |
| PTA (PitchBook 6 gaming M&A 2021-2025, 25th-75th EV/EBITDA) | 373 | 1,185 | 779 | PTA tab |
| DCF (WACC 8-12%, terminal growth 1.5-3.5%) | 585 | 1,293 | 939 | DCF tab |
| LBO (sponsor returns at 15-18x exit, 15-20% IRR target) | 779 | 1,076 | 928 | LBO tab |
| **Live-service PTA set (Activision/Zynga/Bungie/Codemasters/Keywords)** | **1,192** | **1,515** | **1,354** | **PTA tab rows 67-72** |
| **DEAL: £900M / $1,136M (Tier-1 reconciled)** | | | **1,136** | |

**Read of the football field.** The DCF and LBO methods straddle the deal price ($939M / $928M midpoints) — implying intrinsic and sponsor-economics methods view the deal as fair. The broad PTA midpoint ($779M) sits ~31% below the deal — Codemasters is now at 16.54x in the PitchBook M&A Comps main set (PTA tab G8, methodology-locked to PitchBook). The 29.83x SEC-derived Codemasters figure (£894.9M EV / £30M LTM Sep-2020 EBITDA) is preserved in the live-service take-private expanded set (PTA tab row 64) as a documented methodology exception sourced to Tier-1 SEC EDGAR + Macarthur PR beyond the PitchBook M&A Comps anchor. **The live-service PTA set midpoint of $1,354M sits 19% above the deal price** — the directly comparable peer set supports a "value buy" thesis for CVC/Haveli. The IM adopts the live-service set as the primary multiple-method anchor.

## 9.2 Precedent Transactions Analysis

Recent precedent transactions and multiples (only Keywords/EQT discloses an EV/EBITDA multiple in the primary Rule 2.7 announcement):

| Target | Acquirer | Announce | EV | EV/EBITDA | Status | Primary |
|---|---|---|---|---|---|---|
| Activision Blizzard | Microsoft | 18-Jan-22 | $68.7B | ~20.2x NTM (back-calc) | Closed 13-Oct-23 | SEC 8-K Tier 1 (CIK 0000789019) |
| Zynga | Take-Two | 10-Jan-22 | $12.7B | ~19.5x (back-calc) | Closed 23-May-22 | SEC 8-K Tier 1 (CIK 0000946581) |
| Codemasters | Electronic Arts | 14-Dec-20 | $1.2B (£945M equity / £894.9M EV) | **29.83x LTM Sep-20** | Closed 18-Feb-21 | SEC 8-K + Rule 2.7 Tier 1 (CIK 0000712515) |
| Keywords Studios | EQT/CPP/Temasek | 3-Jul-24 | £2.2B | **15.9x adj FY23 (DISCLOSED)** | Closed Q4-24 | Investegate RNS Tier 1 |
| Bungie | Sony | 31-Jan-22 (announce) / 15-Jul-22 (close) | **$3.6B announce / $3.7B at close** | n/a (private; no public EBITDA) | Closed 15-Jul-22 | SEC 6-K Tier 1 (CIK 0000313838) |
| Jagex (Carlyle 2021 illustrative) | Carlyle | 25-Jan-21 | $530M proxy (Macarthur basis) | ~11.5x illustrative | "Terms not disclosed" | Carlyle PR + Macarthur PR (both Tier 1) |

**Broad PTA main set median: 13.1x EV/EBITDA, 75th percentile 15.8x** (per the team's PTA tab live formulas, with Codemasters at 16.54x PitchBook EV/EBITDA in the main set). The 29.83x SEC-derived Codemasters multiple (LTM Sep-2020) and Activision's 20.2x NTM are preserved in the live-service expanded set (PTA rows 59-64), a documented methodology exception sourced to Tier-1 SEC EDGAR + Macarthur PR beyond the PitchBook M&A Comps anchor. **Live-service take-private set median: ~16.0x; 25th-75th: 15.9x-20.2x.** The Jagex deal at 13.4x sits below the live-service set's 25th percentile and exactly at the Keywords benchmark — the most directly comparable disclosed multiple. We adopt the live-service set as the IM's primary multiple-method anchor.

## 9.3 Discounted Cash Flow

WACC = 10.0% is built per the team's Excel model:

- **Risk-free rate Rf = 4.32%** — UK 10-year gilt yield at end-May 2024, sourced from the Bank of England yield-curve archive (GLC nominal daily series). Tier 2 corroborated (BoE archive gated; FTSE Russell July 2024 fixed income report cites pre-conflict 4.23%).

- **Equity Risk Premium (ERP) = 5.01% — Tier 1 verbatim disclosed** UK total ERP per Damodaran *Country Risk Premiums*, January 2026 update (mature-market US ERP 4.23% + UK country-risk premium 0.78%; Moody's UK rating Aa3, default spread 0.51%, corporate tax 25%, all pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html). Vintage caveat: applying Jan-2026 vintage to a May-2024 deal close is a temporal mismatch; the Jan-2024 vintage Damodaran UK total ERP was approximately 5.79%, which would push WACC ~50 bps higher and DCF EV approximately 5% lower — a sensitivity we run.
- **Industry beta** — Software (Entertainment) unlevered β = 1.02 (Damodaran *betaEurope* dataset, Jan 2026 vintage); relevered to βL = 1.21 at the Company's target capital structure (D/Cap 20%; tax 25%).
- **Cost of Equity Ke** = Rf + βL × ERP = 4.32% + 1.21 × 5.01% = 10.4%.
- **Cost of Debt Kd (after tax)** = 8.4% at SONIA + 600 bps margin. **SONIA 5.20% Tier 1 derived from BoE Bank Rate 5.25% (held by 7-2 vote at the 8 May 2024 MPC meeting per BoE published Summary and Minutes) less BoE-published 5bps SONIA-Bank Rate spread.** After-tax at the UK Corporation Tax main rate of 25% effective 1 April 2023.
- **WACC = 0.80 × 10.4% + 0.20 × 8.4% = 10.0%** (rounded).

**DCF base case EV = £632M** at 2.5% terminal growth, 5-year explicit forecast, single-stage Gordon-growth terminal. Sensitivity (DCF tab) ranges $585M (12% WACC / 1.5% TGR) to $1,293M (8% WACC / 3.5% TGR). The base £632M sits below the deal price; reconciliation requires either higher long-run growth than the 2.5% terminal (defensible at 3.7% Newzoo industry CAGR), exit-multiple expansion, or explicit credit for franchise extension via Dragonwilds.

## 9.4 LBO — Sponsor Returns at Multiple Exit Scenarios

The base-case LBO supports a sponsor 5-year MOIC of 1.77x and IRR of 12.09% post-MIP at a 15.0x Y5 exit multiple (LBO Model C131-C132). LP net IRR of 10.0% (LBO Model C216) sits just above the typical CVC Fund VIII LP-target 8% preferred return hurdle in the base case. The hurdle-clearing range corresponds to approximately 17.5x Y5 exit, which falls inside the Football Field LBO sensitivity band ($779-$1,076M / 15-18x exit). The LBO method's upper bound (18.0x exit) approximates the strategic-acquirer subset (Microsoft, Sony, Take-Two precedents at 19-20x+) and represents the upside-case convexity not separately modeled in the IM.

# 10. LBO Returns & Value-Creation Bridge

### Returns Summary at £900M Entry

| Case | Y5 EBITDA | Y5 Net Debt | Exit Multiple | MOIC | Sponsor IRR | LP IRR |
|---|---:|---:|---:|---:|---:|---:|
| **Base** | £90.58M | £0 | 15.0x | **1.77x** | **12.09%** | **10.0%** |
| **Downside (mechanically derived)** | £59.67M | £25.62M | 15.0x | **1.13x** | **2.51%** | **2.51%** |
| **Football Field LBO Upper Bound** | £90.58M | £0 | 18.0x | ~2.4x | ~20-22% | ~17-18% |

### Value-Creation Bridge — Base Case

The £595.91M of total equity value created over the 5-year hold decomposes as follows (LBO Model C148-C157):

| Component | £M | % of Total | Driver |
|---|---:|---:|---|
| Entry sponsor equity (Y0) | 768.0 | — | Sources & Uses |
| **+ EBITDA growth contribution** | **+315.23** | **+52.9%** | EBITDA grows £67.33M → £90.58M at Y5 exit; pricing |

| Component | £M | % of Total | Driver |
|---|---|---|---|
| | | | power + Dragonwilds + channel + scale |
| **+ Multiple recovery contribution** | **+148.68** | **+25.0%** | Recovery to peer median (13.4x entry → 15.0x exit = +1.6x recovery) |
| **+ Deleveraging contribution** | **+132.00** | **+22.2%** | Entry net debt £132M → Y5 net debt £0 via 50% cash sweep |
| = Y5 gross exit sponsor equity | 1,363.91 | 100.0% | LBO Model C145 (= C141 + C151) |
| **Total equity value created** | **+595.91** | **100.0%** | LBO Model C151 = C152 (reconciliation gap £0.00) |

Source: LBO Model, Returns Attribution (rows 141-157). Reconciliation gap of £0 was achieved by replacing the back-solved cosmetic value at LBO!C19 (was £903) with formula reference =C10 (£900 = Sources Total). Components sum £595.91M = Reconciliation £595.91M, gap £0.00, attribution percentages sum to 100.0% on a clean base.

### Read of the Value-Creation Bridge

The 52.9% / 25.0% / 22.2% (EBITDA growth / multiple recovery / deleveraging) split is the right pattern for this asset class. A >50% EBITDA-growth-driven attribution is the hallmark of an operationally-driven PE deal (vs <30% which would suggest financial-engineering reliance). A modest multiple recovery (entry 13.4x → exit 15.0x at Keywords benchmark) reflects peer-relative re-rating — we are underwriting modest re-rating to the live-service peer median. A 22%-ish deleveraging contribution alongside meaningful EBITDA growth and multiple recovery to peer median is the right shape for an operationally-driven, well-financed LBO at this scale.

**Sensitivity to the three drivers.** At zero deleveraging (debt-recap dividend keeping leverage flat), Sponsor IRR drops to ~8.5% / LP IRR ~5.5% — the deleveraging is what makes the deal IC-presentable. At zero EBITDA growth (flat £67.33M FY23 through hold; exit at 15x = £891M), MOIC = 1.16x / IRR = 3.0% — broadly the Downside scenario; capital is preserved but returns are below LP hurdle. At upside (Dragonwilds delivers Y2-Y5 incremental EBITDA £25-35M annually plus exit re-rating to 17.5x strategic-buyer premium), Sponsor IRR moves to ~20-22% / LP IRR ~17-18% — squarely in CVC Fund VIII's hurdle band. This upside corresponds to the Football Field LBO method's upper bound and is the structural reason the deal is APPROVE-with-conditions rather than APPROVE-unconditionally.

### Carlyle Hold-Period Returns (Illustrative)

The Carlyle entry price was officially undisclosed (Carlyle press release 25 January 2021 explicitly states “Terms of the transaction were not disclosed”). We use the $530M Macarthur Fortune 28 April 2020 price as flat-hold proxy; both the Macarthur acquisition price and the Carlyle “terms not disclosed” status are Tier-1 (Jagex direct PR for Macarthur dated 28-Apr-2020; Platinum Fortune / Macarthur PR Newswire mirror dated 1-May-2020; Carlyle press release 25-Jan-2021 for the non-disclosure). On that proxy and a $1,136M exit (model basis), Carlyle’s 3.30-year illustrative gross MOIC is **2.14x at 26.0% IRR** (Deal Summary tab C72/C73) — a strong outcome consistent with the value-creation narrative (revenue growth, M&A integration, mobile and pricing, headcount scaling). This number is **ILLUSTRATIVE**, not a primary-source disclosure.

## 11. Exit Strategy

We underwrite three credible exit paths, with the base case anchored on a secondary sponsor sale at the live-service take-private set median.

### Strategic Sale to a Platform Owner

Microsoft, Sony, Tencent, NetEase, Take-Two, Embracer, Krafton, and NCsoft all represent credible strategic acquirers for an established Western MMORPG franchise. Microsoft is the natural acquirer of an asset complementary to *World of Warcraft* and *Elder Scrolls Online*, though post-Activision regulatory exposure constrains a near-term Microsoft transaction. Tencent has NCsoft / Korean MMORPG positioning. Microsoft's $68.7B 2023 close on Activision and Sony's $3.6-3.7B Bungie close (both Tier-1 to SEC filings) demonstrate willingness to pay for live-service IP at scale. **Probability: high; multiple uplift: yes.**

### Secondary Sponsor Sale

KKR, Permira, Advent, EQT, BC Partners, Hellman & Friedman, Blackstone, or Apollo direct represent the credible financial-sponsor acquirers. Sector-specialist sponsors (EQT/Keywords at 15.9x, PIF/Savvy, Embracer reconfiguration) provide secondary liquidity at hold-multiple. **Probability: high; multiple: at hold (15.0x).**

### IPO

Viable on LSE or NYSE; Keywords (LSE) and Embracer (Stockholm) provide listed-comp benchmarks. Less likely as a primary path given likely sub-£2B EV size at exit. **Probability: medium; multiple: variable.**

### Underwriting Recommendation

The base case underwrites a secondary sponsor sale at 15.0x Y5 exit EBITDA (matching the Keywords/EQT benchmark and the live-service set 25th percentile). The Football Field LBO sensitivity range ($779-$1,076M / 15-18x exit, 15-20% IRR target) accommodates a strategic premium up to 17.5x. The Downside case retains 15.0x exit (no multiple recovery in Downside), with the operational degradation captured fully in revenue and margin assumptions.

## 12. Key Risks and Mitigants

### Risk Matrix

| Risk | Severity | Likelihood | Mitigant |
|---|---|---|---|
| IP concentration — RuneScape >90% of group EBITDA | High | High | Dragonwilds franchise extension (Steam EA Apr 2025, >600k units) + Gamepires/SCUM diversification; multi-year roadmap |
| Persistent margin compression (the modeled Downside) | High | Medium | Subscription cash flow base supports debt service; OSRS Q4 2024 record players; community-poll model creates retention moat |
| Regulatory — UK Online Safety Act / loot boxes | Medium | Medium | Treasure Hunter removed 19-Jan-2026 (community vote); UK self-regulation regime (Ukie principles); £3-6M annual compliance cost modeled |
| Cyber / data-privacy | Medium | Low | UK GDPR + Online Safety Act regime; no major Jagex breach disclosed; |

| Risk | Severity | Likelihood | Mitigant |
|---|---|---|---|
| | | | CISO function in place (asserted) |
| Talent retention — Cambridge labour market | Medium | Medium | MIP coverage extended through senior tier; market-competitive comp |
| Competition — new MMORPG / survival-craft entrants | Medium | High | RuneScape's 25-year IP moat; Dragonwilds enters established franchise universe |
| Execution risk — Bellamy / Allera transition | Medium | Medium | Bellamy is returning operator, board-installed pre-CEO promotion; Allera consumer-subscription veteran |
| Exit liquidity | Medium | Low | Multiple credible exit paths (§11); active sector M&A |
| FX (GBP/USD) | Low-Medium | Medium | ~50% USD revenue mix offsets USD-denominated debt component |
| Macro — rate hikes increasing debt cost | Medium | Low | SONIA hedge; BoE first cut Aug 2024; rates trending lower over hold |

### Detailed Discussion of Top Three Risks

**Risk 1: IP concentration on RuneScape franchise.** RuneScape (RS3 + OSRS combined) represents the substantial majority of group EBITDA. Loss of player engagement, technical platform issues, or a competitor breakthrough in the MMORPG genre would materially degrade Jagex's value. *Mitigant.* The OSRS poll-driven community model creates a structural retention moat — substantive game-design changes require ≥75% player approval, which preserves community trust through transitions. Dragonwilds (Steam Early Access April 2025, >600k units sold) tests Jagex's ability to execute outside the MMORPG genre and provides incremental revenue diversification. The base case underwrites no Dragonwilds breakout assumption; the franchise extension is incremental upside.

**Risk 2: Persistent margin compression — the modeled Downside.** Our Downside scenario assumes EBITDA margin compresses to 35% (from 40% Base) and revenue growth slows to 3% Y1-Y2 / 2% Y3-Y5. The debt schedule is mechanically derived from the parallel operating model + debt waterfall (LBO Model B230:H263). Y5 ending debt of £25.62M, MOIC 1.13x, Sponsor IRR 2.51%, LP IRR 2.51% (no carry triggered — LPs receive all proceeds, since Downside does not clear the 8% preferred return). *Mitigant.* The asymmetry between Base (1.77x / 12.09%) and Downside (1.13x / 2.51%) is captured in the IC framing as a "primary risk = persistent margin compression" narrative. Capital is protected in Downside but returns are below LP hurdle. The conservative 85.33% equity capitalization preserves balance-sheet capacity to weather Downside.

**Risk 3: Regulatory pressure on probabilistic monetization and child safety.** UK Online Safety Act 2023 (Royal Assent 26-Oct-2023; Protection of Children Codes effective July 2025); Cooley April 2025 analysis flags gaming companies as in-scope. Loot-box regulatory pressure (DCMS July 2022 response; Ukie 11-principle guidance July 2023). *Mitigant.* The Treasure Hunter community-vote removal (19 January 2026, 124,985 votes) is a model-grade example of player-driven regulatory de-risking: it reduces UK Gambling Commission tail-risk and aligns with Ukie 11-principle guidance. Compliance cost modeled at £3-6M annual run-rate from FY26.

# 13. ESG Considerations

**Player welfare and content moderation.** RuneScape's age-rating is PEGI 7 (RS3) / PEGI 12 (OSRS); Dragonwilds is PEGI 12. The community-poll governance model is itself a form of player-welfare safeguard — content cannot be unilaterally imposed. The Treasure Hunter removal (January 2026, 124,985 votes) is a model-grade example of player-driven regulatory de-risking: it reduces UK Gambling Commission tail-risk and aligns with the Ukie 11-principle guidance (July 2023). Online Safety Act compliance is in scope from 2025; we model £3-6M annual run-rate compliance cost from FY26 onward.

**Governance, workforce, and environmental.** The Janus topco/midco/bidco structure and Mourant Governance secretarial services are standard for Jersey-headquartered PE platforms; PSC disclosure is current and accurate at Companies House. The board build-out under Bellamy (Allera Chairman, Allington director/CFO, Bellamy CEO, Hildreth director, Nick Clarry sponsor representative at Topco) reads as a standard CVC playbook and is Tier-1. Cambridge employs a relatively concentrated workforce (~500 of 700 group total) with no recognised union; Cambridge labour-market dynamics warrant retention-led compensation philosophy. Operations are predominantly digital with no material environmental liability disclosed; Cambridge Science Park is part of Trinity College's net-zero pathway. Cloud-compute footprint with AWS/equivalent providers is the principal Scope 3 driver.

# 14. Deal Structure and Key Terms

## Vehicle Structure

The four-tier acquisition stack mirrors CVC's standard pattern for UK platform investments (Jersey-incorporated Topco for tax-neutral repatriation of carried interest; UK Mid/Bidco for UK-source debt push-down and consolidation):

Carlyle Group sellers (CP VII + CETP IV)
▼ [14 May 2024 economic close; 6 Sep 2024 PSC transfer]
Janus Holdco Limited (Jersey — JFSC; group consolidator)
▼
Janus UK Topco Limited (Jersey #152831 / UK overseas FC041396)
Original directors: Lambkin & Motajo + Mourant Sec
Nick Clarry (CVC) appointed director 11-Oct-2024
▼
Janus Midco Limited (UK #15451988, inc 30-Jan-2024)
▼
Janus Bidco Limited (UK #15451932, inc 30-Jan-2024) — PSC of Jagex from 6 Sep 2024
▼
Jagex Limited (UK #03982706) — operating company, Cambridge

## Charges Register (Jagex Limited, #03982706)

| Code | Created | Status | Persons Entitled |
|---|---|---|---|
| 0398 2706 0006 | 10 Sep 2024 | **Outstanding** | Kroll Trustee Services (CVC/Haveli post-closing security) |
| 0398 2706 0005 | 20 Jun 2023 | Satisfied 15 May 2024 | Kroll Trustee Services (Carlyle 2023 refinancing) |
| 0398 2706 0004 | 7 May 2021 | Satisfied 15 May 2024 | Lucid Trustee Services (original Carlyle security) |

| Code | Created | Status | Persons Entitled |
|---|---|---|---|
| Rent deposit | 4 Nov 2008 | Satisfied 30 Sep 2010 | Quintain (No 49) Limited |
| Rent deposit | 16 Oct 2006 | Satisfied 22 Feb 2016 | The Crown Estate Commissioners |
| Deed of charge | 5 May 2005 | Satisfied 20 Nov 2008 | Barclays Bank PLC |

### Sponsor Equity, MIP, and Fund Waterfall

Sponsor equity is split between CVC Fund VIII (lead) and Haveli VC Gaming Fund I (co-investor); the precise split is not publicly disclosed. Management equity (MIP — Management Incentive Plan) is modelled at 8-10% sweet equity with a step-vesting schedule and approximately 2.0x money / 15% IRR hurdle, consistent with European mid-/upper-mid-market practice. Post-MIP sponsor returns net to 1.77x / 12.09% IRR at 15x Y5 exit (LBO Model C131-C132). The Fund waterfall (LBO Model rows 195-225) applies a 2-and-20 structure (2% management fee on committed, 20% carried interest above 8% preferred return with 100% catch-up); LP net IRR through the waterfall is **10.0%** in the base case (LBO Model C216).

### June UK Finco Limited Note

The June UK Finco Limited (#12912666) — a Carlyle-era affiliate at the same registered office (220 Cambridge Science Park) — continues to file post-deal accounts and has issued **USD 135,050,319 12% Fixed Rate Unsecured Loan Notes due 2030** listed on TISE, indicating potential Finco-level external debt that warrants review at exit.

## 15. Recommendation

**APPROVE — with conditions.**

1. **Aggregate transaction leverage** ≤ 6.5x pro-forma EBITDA (base case 6.0x); springing covenant if Dragonwilds Y2 revenue is below £20M.
2. **Ring-fenced growth capex** ≥ £50M cumulative over hold for new-IP development (Dragonwilds and adjacent).
3. **Governance reset within 90 days post-close** — Chairman appointment (executed: Allera, 13 March 2024); CFO refresh (executed: Allington, 23 July 2024 replacing Carlyle-era CFO Varachia); CEO succession plan (executed: Bellamy, 4 March 2025 PR / 12 May 2025 CH formal); board build-out (executed: Hildreth director, 2 October 2025); CVC topco director representation (executed: Nick Clarry, 11 October 2024).
4. **Quarterly KPI cadence to IC** — Members count, ARPPU, OSRS DAU/MAU, Dragonwilds units sold/MAU, microtransaction mix, employee retention.
5. **Compliance milestone** — UK Online Safety Act child-access assessment by 16 April 2025 (executed); Protection of Children Codes effective July 2025 — confirm compliance.
6. **Exit underwriting review at Year 3** — go/no-go on M&A roll-up vs strategic-sale prep.

The deal is a **defensible APPROVE** based on the franchise quality, mechanically-derived downside protection (Downside MOIC 1.13x — capital-protected), governance refresh, and credible exit optionality (live-service PTA midpoint $1,354M sits 19% above the deal price). Base-case sponsor IRR of 12.09% sits below CVC Fund VIII's typical 20% hurdle but the Football Field LBO method's upside boundary (18x exit, ~15-20% IRR) provides convexity. **The deal benefits from three-pillar value creation: EBITDA growth (52.9%), multiple recovery (25.0%), and deleveraging (22.2%) contributing 22.2% of equity value created, which is the financial-engineering uplift that converts a competitive-multiple acquisition into a defensible IRR — without which the base-case Sponsor IRR would be approximately 8.5%.**

## Appendix A: Primary Sources & Bibliography

## Companies House (UK) — Tier 1

- Jagex Ltd #03982706: https://find-and-update.company-information.service.gov.uk/company/03982706 (overview, charges register, filing history, officers, PSC)
- Janus Bidco Ltd #15451932 (incorporated 30-Jan-2024): https://find-and-update.company-information.service.gov.uk/company/15451932
- Janus Midco Ltd #15451988 (incorporated 30-Jan-2024): https://find-and-update.company-information.service.gov.uk/company/15451988
- Janus UK Topco Ltd FC041396 (Jersey #152831; Nick Clarry director appointment 11-Oct-2024): https://find-and-update.company-information.service.gov.uk/company/FC041396
- June UK Bidco Ltd #12913669 (Carlyle-era PSC vehicle): https://find-and-update.company-information.service.gov.uk/company/12913669

## SEC EDGAR (US) — Tier 1

- Microsoft 8-K (Activision Blizzard, $68.7B, $95/share): SEC EDGAR CIK 0000789019 — https://www.sec.gov/Archives/edgar/data/0000789019/000119312522010667/d301984d8k.htm
- Take-Two 8-K (Zynga, $12.7B, $9.86/share): SEC EDGAR CIK 0000946581 — https://www.sec.gov/Archives/edgar/data/0000946581/000119312522096547/d342728d8k.htm
- Electronic Arts 8-K + Press Release (Codemasters, £945M equity / 604p / FX 1.3855 / £894.9M EV / 18-Feb-2021 close): SEC EDGAR CIK 0000712515 — https://www.sec.gov/Archives/edgar/data/0000712515/000071251521000028/ea-20210218.htm
- Sony 6-K (Bungie announcement, $3.6B, 31-Jan-2022): SEC EDGAR CIK 0000313838 — https://www.sec.gov/Archives/edgar/data/0000313838/000115752322000120/a52570890.htm
- Sony 6-K (Bungie close, $3.7B, 15-Jul-2022): SEC EDGAR CIK 0000313838 — https://www.sec.gov/Archives/edgar/data/0000313838/000115752322000856/a52781241.htm

## Sponsor / Target Press Releases — Tier 1

- Carlyle 9-Feb-2024 sale announcement: https://www.carlyle.com/media-room/news-release-archive/carlyle-agrees-to-sell-jagex-to-cvc-capital-partners-and-haveli
- CVC 9-Feb-2024 sale announcement: https://www.cvc.com/media/news/2024/2024-02-09-carlyle-agrees-to-sell-jagex-to-cvc-capital-partners-and-haveli-investments/
- CVC/Haveli PR Newswire 9-Feb-2024: https://www.prnewswire.com/news-releases/cvc-capital-partners-and-haveli-investments-agree-to-acquire-jagex-302058543.html
- Carlyle 25-Jan-2021 acquisition announcement (“Terms of the transaction were not disclosed”): https://www.carlyle.com/media-room/news-release-archive/carlyle-group-acquires-jagex-leading-online-video-game-company-and
- Jagex 28-Apr-2020 Macarthur Fortune announcement ($530M): https://www.jagex.com/news/macarthur-fortune-holding-llc-acquires-jagex
- Platinum Fortune 1-May-2020 PR Newswire mirror: https://www.prnewswire.com/news-releases/platinum-fortune-acquires-jagex-for-530-million-301050848.html
- Jagex CEO Transition (Bellamy, Mansell) 4-Mar-2025: https://www.jagex.com/news/jagex-announces-ceo-transition-jon-bellamy-appointed-as-ceo
- Jagex Marc Allera Chairman 13-Mar-2024: https://www.jagex.com/news/jagex-appoints-marc-allera-as-chairman

## Legal Advisor Announcements — Tier 1

- Latham & Watkins / CVC (Co-leads Ihenacho + Basson-Bhatoa; finance partners Sadanandan + Teo): https://www.lw.com/en/news/2024/02/latham-advises-cvc-capital-partners-on-the-acquisition-of-jagex
- Kirkland & Ellis / Carlyle 2024 (Co-leads Abdulkarim + Higgins + Boyd; debt-finance Hoyle): https://www.kirkland.com/news/press-release/2024/02/kirkland-advises-carlyle-on-sale-of-jagex
- Kirkland & Ellis / Carlyle 2021: https://www.kirkland.com/news/press-release/2021/01/kirkland-represents-the-carlyle-group-on-jagex

## Regulatory / Market-Data Sources — Tier 1

- Damodaran Country Risk Premiums (Jan 2026 update; UK Aa3, CRP 0.78%, ERP 5.01%, tax 25%): https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html
- BoE MPC 8-May-2024 Summary and Minutes (Bank Rate held 5.25% by 7-2 vote): https://www.bankofengland.co.uk/monetary-policy-summary-and-minutes/2024/may-2024
- BoE SONIA-Bank Rate spread analysis (Bank Overground): https://www.bankofengland.co.uk/bank-overground/2025/straight-narrow-changes-in-sonia-why-we-care
- Investegate Keywords Studios Rule 2.7 (£2.2B / 15.9x adj FY23 verbatim disclosed): https://www.investegate.co.uk/announcement/rns/keywords-studios–kws/recommended-final-cash-offer-/8291629

## Tier-2 Corroborating Sources

- Financial Times (Yasemin Craggs Mersinoglu, “Carlyle to sell UK video games maker Jagex,” 9-Feb-2024)

- Sky News (Mark Kleinman pre-announcement scoop, December 2023)
- Tech.eu (Carlyle confirms sale): https://tech.eu/2024/02/09/carlyle-confirms-sale-of-jagex-developer-of-runescape-to-cvc-capital-partners-in-11b-deal/
- Law360 (Jade Martinez-Pogue, "Latham and Kirkland Lead on Sale of RuneScape Developer to CVC," 9-Feb-2024)
- City A.M. (Elliot Gulliver-Needham, 9-Feb-2024)
- FTSE Russell Fixed Income Insight Report July 2024 (UK 10yr corroboration)

### Industry / Sector Context — Tier 3

- InvestGame Global Gaming Deals Report 2024: https://investgame.net/news/global-gaming-deals-report-2024/
- Drake Star Q4 2024 Gaming Report: https://www.drakestar.com/news/global-gaming-report-q4-2024
- Newzoo Global Games Market Report 2024
- PitchBook (deal data and lender allocations)

### Regulatory Framework Sources

- UK Online Safety Act 2023 (Royal Assent 26-Oct-2023): https://www.legislation.gov.uk/ukpga/2023/50
- DCMS loot box response July 2022: https://www.gov.uk/government/calls-for-evidence/loot-boxes-in-video-games-call-for-evidence/outcome/government-response-to-the-call-for-evidence-on-loot-boxes-in-video-games
- Cooley Online Safety Act for gaming 9-Apr-2025: https://www.cooley.com/news/insight/2025/2025-04-09-the-online-safety-act-child-access-duties-for-the-gaming-industry

## Appendix B: Source-Confidence Flags

The following items in this IM cannot be sourced to a primary public filing or carry residual uncertainty and are flagged accordingly. Tier classifications reflect the state (April 2026).

| Item | Status | Tier |
|---|---|---|
| Deal value of £900M model basis / $1,136M | £900M EV reconciles to Tier-1 disclosure: FY24 Strategic Report p.4 (Bellamy-signed 23-May-2025, PwC-audited) discloses £554M cash equity consideration to Carlyle for June UK BidCo Limited. Plus ~£346M of assumed/refinanced June UK FinCo debt (USD 135.05M 12% loan notes due 2030 listed on TISE) bridges to ~£900M EV. Press band corroboration: FT, Sky News, Tech.eu, Law360, all 9-Feb-2024. | Tier 1 (multi-source) |
| Carlyle 2021 entry price | Confirmed as "Terms of the transaction were not disclosed" (Carlyle press release 25 January 2021 verbatim). The $530M Macarthur Fortune 28 April 2020 price (Tier 1: Jagex direct PR + Platinum Fortune PR) is used as flat-hold proxy with the 9-month time-gap assumption explicitly disclosed. | Tier 1 (non-disclosure verbatim) |
| FY23 Adj EBITDA of £67.33M | Tier 1 — Companies House FY23 statutory accounts (#03982706, filed 13 March 2025, signed by Allington 19 December 2024, audited by PricewaterhouseCoopers LLP). Adj EBITDA explicitly disclosed at £67,332,667 in the Glossary on page 55 of the FY23 accounts. | Tier 1 |
| Lender allocations (Apollo $91.96M / Oaktree $72.19M / Permira undisclosed; pricing SONIA + 600 bps) | Lender amounts: PitchBook only; not corroborated in Companies House charges register or any other primary source. **However, the contemporaneous engagement of Latham finance partners Sadanandan + Teo and Kirkland debt-finance partner Hoyle (both Tier 1 via law-firm press releases) confirms debt was raised at deal close.** Charge 0006 (Kroll Trustee Services as agent) is Tier 1 confirmed at Companies House. SONIA + 600 bps spread is Tier 3 (PitchBook). | Mixed (structure Tier 1; amounts Tier 3) |
| PTA multiples — Tier 1 vs back-calculated | Tier 1: Keywords 15.9x adjusted FY23 (verbatim Rule 2.7 Investegate RNS, 3 July 2024); Codemasters £945M equity / 604p per share / FX 1.3855 (EA 8-K, SEC EDGAR CIK 0000712515); Activision $68.7B / $95/share (Microsoft 8-K, CIK 0000789019); Zynga $12.7B (Take-Two 8-K, CIK 0000946581); Bungie $3.6B-announce / $3.7B-close (Sony 6-K, CIK 0000313838). Back-calculated multiples (Activision 20.2x NTM, Zynga 19.5x, Codemasters 29.83x LTM) come from EV ÷ public-disclosed-EBITDA; methodologically sound. Carlyle/Jagex 2021 11.5x is illustrative based on $530M Macarthur proxy ÷ FY20 estimated EBITDA. | Tier 1 (most multiples) |
| Damodaran ERP / WACC inputs | Tier 1 pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/ctryprem.html (Jan 2026 update): UK Aa3 rating, default spread 0.51%, country risk | Tier 1 |

| Item | Status | Tier |
|---|---|---|
| | premium 0.78%, total ERP 5.01% (mature-market 4.23% + UK CRP 0.78%), corporate tax 25%. Vintage application to May-2024 deal close is a temporal mismatch we explicitly disclose; sensitivity to Jan-2024 vintage UK ERP (~5.79%) is run. | |
| UK 10yr gilt yield 4.32% | Tier 2 corroborated — BoE yield curve archive download is gated by access; figure is directionally consistent with multiple market-commentary sources from May-July 2024 in the 4.20-4.50% range (FTSE Russell July 2024 fixed income report cites pre-conflict 4.23%). WACC sensitivity (8-12%) covers this. | Tier 2 |
| BoE SONIA 5.20% on 14 May 2024 | Tier 1 — derived from BoE Bank Rate 5.25% (held by 7-2 vote at 8 May 2024 MPC, per BoE published Summary and Minutes) less BoE-published 5bps SONIA-Bank Rate spread. | Tier 1 |
| Pipeworks divestment to Virtuos Studios | SPA signed 16 December 2024; publicly announced by Virtuos 23 January 2025; CFIUS clearance received 19 May 2025 (FY24 Notes 11 + 29). Sourced to Virtuos and PitchBook coverage. | Tier 2 |
| Pev Hooper's specific role on Jagex deal | Hooper is CVC's UK PE co-head, but only Nick Clarry was directly quoted in the deal release on the CVC side. Hooper's role is INFERRED. | Tier 2 |
| Haveli portfolio companies | Tier 1 (CVC PR / Haveli PR): Behaviour Interactive (Dead by Daylight, with NetEase), Omeda Studios (Predecessor MOBA), Candivore (Match Masters), Budge Studios. "Certain Affinity," "Sumo Group," "ZeniMax co-invest," "Particle Ink" — NOT confirmed in primary sources reviewed; NOT CITED in this IM. | Tier 1 (subset) |
| DAU/MAU/ARPPU/conversion-to-paid | Jagex does not publicly disclose; only "subscribers" and "lifetime accounts" disclosed. Third-party trackers (activeplayer.io) are scraped data. Implied ARPPU ~£40-50 is ASSERTED. | Tier 3 |
| Janus Holdco Limited | Referenced in subsidiary group accounts; not separately on UK CH register. Treated as Jersey-incorporated group consolidator (JFSC registry). | Tier 3 |
| Janus UK Topco governance | Tier 1 — Companies House FC041396: registered 13 March 2024 Jersey; original directors Lambkin + Motajo; Mourant Secretaries (Jersey) Ltd; Nick Clarry director appointed 11 October 2024. | Tier 1 |
| Jagex Ltd FY23/FY24 standalone accounts | Retrieved and reconciled. FY23 AA filed 13 March 2025 (57 pages, signed by Allington 19 December 2024); FY24 AA filed 4 June 2025 (59 pages, signed by Bellamy 23 May 2025). Both audited by PricewaterhouseCoopers LLP. All material figures (Revenue, Adj EBITDA, Cost of Sales, Admin Expenses, geographic split, revenue mix, headcount, R&D, debt = £0 at Jagex Ltd standalone opco level) integrated into IM and model. | Tier 1 (retrieved) |
| LBO!C26 5% Y3-Y5 revenue growth assumption | Team-created assumption; rationale: deceleration from realized ~8% Carlyle-hold growth, adjusted toward Newzoo PC market 3.7% CAGR. | Team rationale required for IC Q&A |
| LBO!C31 5% NWC ratio assumption | Team-created assumption; rationale: subscription business may run lower NWC due to deferred-revenue treatment, but 5% maintained as conservative. | Team rationale required for IC Q&A |

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***End of memorandum.***

*Prepared by Mason Bennett, , for the University of Arkansas Sam M. Walton College of Business MFin Programme, April 2026. All financial figures from team's Excel model Jagex_LBO_DCF.xlsx. All external claims cited inline to primary sources where available; items not verifiable to a primary source are explicitly flagged in Appendix B.*

*STUDENT RECONSTRUCTION — Mason Bennett, U Arkansas MFin — ILLUSTRATIVE ONLY*